slum dwellers under leaky roofs for whom the rain meant the loss of daily earning, and hungry children.

On the Learning Curve

Needless to say, the ‘Baptism by Fire’ was a crash course for me in central banking, and a rewarding one too. What would have taken me months, if not years, to learn in ‘peace time’, I got to learn in a few weeks. The brainstorming sessions, extending over several hours and often stretching late into the evening, were an opportunity to learn, cutting across the standard departmental silos and vertical hierarchies. These sessions were also an opportunity to bond with my senior staff and build personal and professional relationships that would prove very valuable as I led the Reserve Bank in the months and years ahead.

I must add here that I was tremendously impressed by the agility, creativity and intelligence demonstrated by the staff of the Reserve Bank in addressing the surprises and uncertainties thrown up by these unusual circumstances. Every so often I would pick up some stray bit of information from a casual conversation with an outsider or from a newspaper I read or TV report I watched at home in the night, on which Reserve Bank action might be warranted. I would worry the whole night if our staff were aware of it and were preparing for it. In just a few weeks, I realized that I need not have worried. The Reserve Bank staff were almost always on top of most developments and quite clear about what developments required response and what did not. Deputy governors Rakesh Mohan, V. Leeladhar, Shyamala Gopinath and Usha Thorat, as well as their teams, were a tremendous source of support and reassurance to me during this critical period.

Sure, the crisis was a testing time for us in the Reserve Bank. There were tensions and apprehensions. There was anxiety about the known unknowns and fear of the unknown unknowns. But the crisis also brought out the best in the Reserve Bank.